

Financial Market Inflation Expectations

—— 7/2025



Czech National Bank — Financial Market Inflation Expectations — 7/2025

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I. SUMMARY

Thirteen domestic and one foreign analysts took part in the July survey of financial market inflation expectations. The data obtained suggest that the estimate for this year's economic growth is slightly more optimistic than in the June survey amid marginally higher expected inflation at the one-year horizon. By contrast, the outlook for economic growth next year has been revised slightly downwards. The three-year inflation forecast remains unchanged. At the same time, most of the respondents expected the 2W repo rate to remain unchanged at the CNB's Bank Board meeting in August. Adjustments to the koruna exchange rate forecast are based on its performance on the foreign exchange market over the past month. The estimate for nominal wage growth this year has been revised slightly upwards. The view on wage growth next year remains unchanged.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+	+	+	+	+	+					
Jan Vejrnělek, Komerční banka	+	+	+	+	+	+	+					
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+	+					
Helena Horská, Martin Kron, Raiffeisenbank	+	+	+	+	+	+	+					
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+	+					
Petr Sklenář, J&T Banka	+	+	+									
Radomír Jáč, Generali Investments CEE	+	+	+	+	+	+	+					
David Havrlant, ING	+	+	+	+	+	+	+					
Kamil Kovář, Moody's Analytics	+	+		+	+	+	+					
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+	+	+	+	+	+					
Jaromír Šindel, ČBA			+	+		+						
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+	+					
Michal Šoltés, RoklenFin	+	+	+	+	+	+	+					
Martin Janičko, MND	+	+	+	+	+	+	+					
Jan Bureš, ČSOB			+				+					
FOREIGN ANALYSTS												
Piotr Kalisz, Citi	+	+		+	+	+						
Basak Edizgil, Goldman Sachs	+	+		+	+	+						
Sili Tian, The Economist Intelligence Unit				+								
Jose A. Cerveira, JP Morgan	+	+	+	+		+	+					

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 7 August 2025

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

July 2025	CPI	
	1Y	3Y
minimum	1,7	2,0
average	2,2	2,1
maximum	2,5	2,5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
VII.24	2,1	2,1	
IX.24	2,2	2,1	3Q: 1.9
X.24	2,2	2,2	
XII.24	2,3	2,2	4Q: 2.4
II.25	2,2	2,1	
V.25	2,1	2,1	1Q: 2.2
VI.25	2,1	2,1	
VII.25	2,2	2,1	

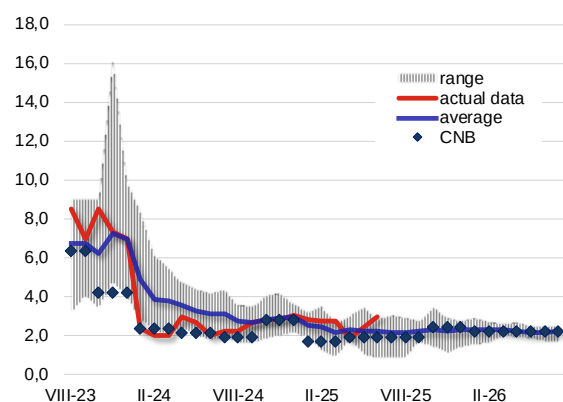
June saw a pick-up in inflation. The year-on-year consumer price index increased to 2.9%. The figure is 0.5 percentage point higher than in May. Food prices contributed most to the acceleration in price growth, reflecting an increase in the price of meat, milk and butter. Transport also played a role, with the decline in fuel prices easing within this category. Goods prices rose by 1.6% year on year, while the pace remains noticeably stronger for services, reaching 5.0% in June. Month-on-month inflation reached 0.3%, due mostly to price growth in recreation and culture, housing and transport. In month-on-month terms, services prices rose more markedly (by 0.5%), while goods prices increased by just 0.1%.

According to some analysts, the increase in the consumer price index in June confirms the strengthening of inflation pressures. They view strong household demand – in addition to higher food prices – as the main driver of price growth. Given the strong labour market, inflation pressures will ease only gradually and inflation is expected to fluctuate inside the upper half of the tolerance band around the CNB's 2% target in the coming months. The average view on the future path of inflation at the one-year horizon shifted upwards by 0.1 percentage point to 2.2% in our survey. The three-year outlook remains unchanged at 2.1%. The range of individual estimates remains unchanged for the forecasts at both horizons. US trade policy is a considerable source of uncertainty. The introduction of higher tariffs would likely represent an upside risk to inflation in the initial phase due to higher import prices. This would probably turn into a downside risk over time owing to a fall in demand and a deterioration in macroeconomic developments.

The CNB's summer forecast expects annual consumer price inflation of 2.2% in 2026 Q3.

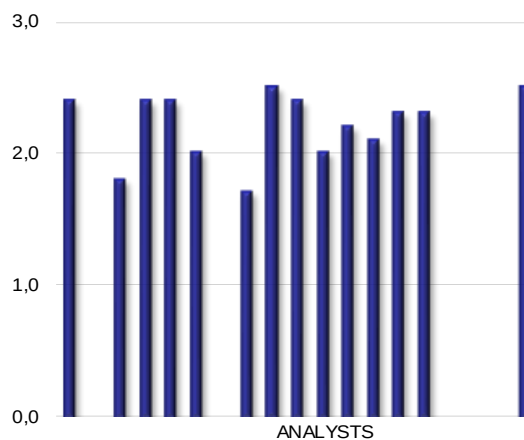
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

July 2025	current year	current+ 1Y
minimum	1,5	1,1
average	2,0	1,9
maximum	2,6	2,5

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
VII.24	1,3	2,6
IX.24	1,0	2,5
X.24	1,0	2,4
XII.24	1,0	2,0
II.25	2,0	2,3
V.25	1,8	2,0
VI.25	1,9	2,0
VII.25	2,0	1,9

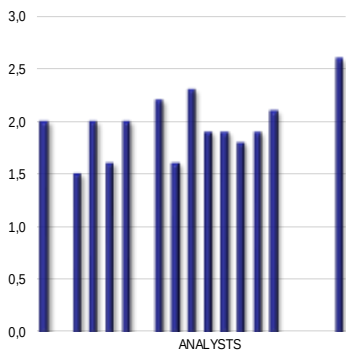
The Czech Statistical Office again revised its estimate for GDP growth in 2025 Q1. According to the latest data, the Czech economy grew by 2.4% year on year, up by 0.2 percentage point on the previous estimate. In quarter-on-quarter terms, GDP growth for 2025 1Q was revised downwards by 0.1 percentage point to 0.7%. According to the CZSO, the financial situation of households improved slightly quarter on quarter, as income and consumption expenditure rose in real terms. The saving rate fell but remains above average. The profitability of non-financial corporations was flat, while the investment rate fell.

The analysts' view on developments in the domestic economy this year improved slightly since the previous survey. GDP is now expected, on average, to grow by 2.0% this year, which is 0.1 percentage point more than in June. At the same time, the maximum estimate increased, widening the range of the analysts' forecasts. By contrast, the outlook for next year – which may potentially be significantly affected by US tariffs – was revised downwards by 0.1 percentage point, with the average estimate now at 1.9%. A drop in the maximum estimate led to a narrowing of the range of the individual forecasts for 2026.

According to the CNB's summer forecast, GDP will grow by 2.6% in both 2025 and 2026.

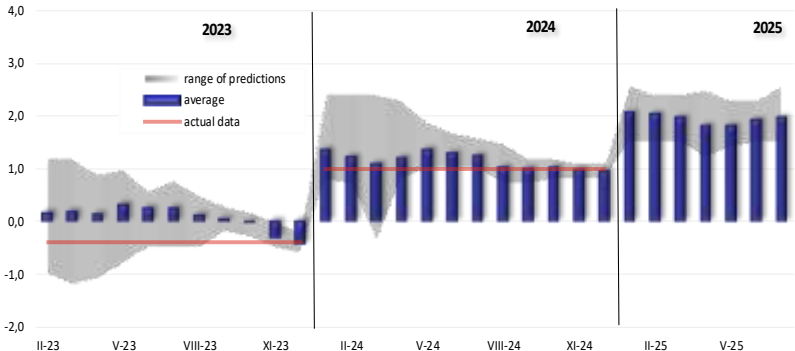
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR (%)



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS (%)



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
VII.24	4,51	3,35	4,21	3,42	3,58	3,45	3,66	3,55
IX.24	4,25	3,36	3,73	3,34	3,29	3,39	3,43	3,50
X.24	4,01	3,25	3,67	3,28	3,38	3,35	3,53	3,50
XII.24	3,95	3,27	3,65	3,29	3,59	3,47	3,70	3,61
II.25	3,70	3,16	3,54	3,31	3,60	3,46	3,75	3,64
V.25	3,46	3,05	3,40	3,24	3,43	3,37	3,69	3,61
VI.25	3,50	3,11	3,40	3,20	3,49	3,40	3,74	3,63
VII.25	3,48	3,16	3,46	3,32	3,61	3,54	3,91	3,81

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

July 2025	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	3,25	2,75	3,38	2,95	3,45	3,00	3,80	3,10
average	3,48	3,16	3,46	3,32	3,61	3,54	3,91	3,81
maximum	3,50	3,50	3,60	3,60	3,70	3,85	4,20	4,30

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.7.	3,50	3,45	3,68	3,92

The majority of respondents who participated in the July survey expected key interest rates to again remain unchanged and the 2W repo rate to stay at 3.50% at the CNB's Bank Board meeting in August. Analysts saw a shift in the CNB's communication and believed that the Bank Board perceived more pronounced upside risks to inflation. Conversely, one respondent expected the Bank Board to lower the 2W repo rate by 25 basis points to 3.25% at the August meeting. This decision would be supported mainly by the expected deterioration in the performance of the Czech economy (also in view of the potential increase in tariff barriers) and the easing of inflation pressures as a result of restrictive monetary conditions.

The average annual forecast for the 2W repo rate moved up, but most analysts still believed that the monetary policy easing cycle in the Czech Republic was not over yet and that the key interest rates would go down by at least another 25 basis points (see table below). However, they pointed out that the actual timing of the decrease in rates is associated with considerable uncertainty, as it will depend on the final form of the US tariffs and the speed of pass-through to the real economy and to prices.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

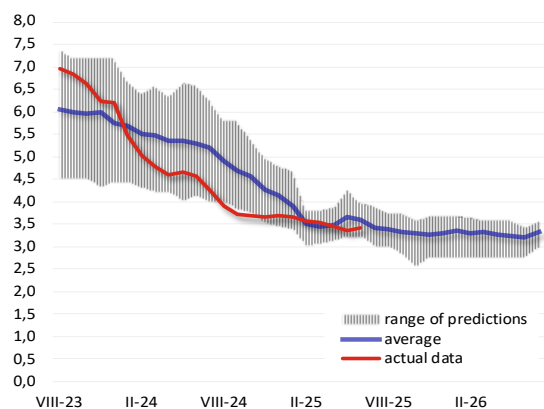
2W repo rate level in 1Y (%)	2,50	2,75	3,00	3,25	3,50	3,75
number of analysts - current survey	0	1	5	6	2	0
-previous survey	0	2	7	5	2	0

The PRIBOR reference rates and IRS market rates have increased again slightly since the June survey (up by 2 to 7 basis points). Data from the latest forecasts indicate that analysts have revised not only their estimates for key interest rates – now expecting a slower decline – but also their outlooks for reference and swap rates. They shifted upwards by 5 to 18 basis points. A larger shift was recorded for the one-year forecasts but the one-month forecasts are still slightly above the annual forecasts.

The CNB's summer forecast implies a 2W repo rate of 3.3% in 2026 Q3.

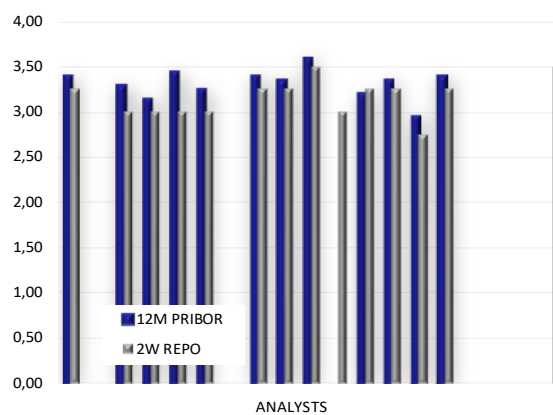
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS (%)



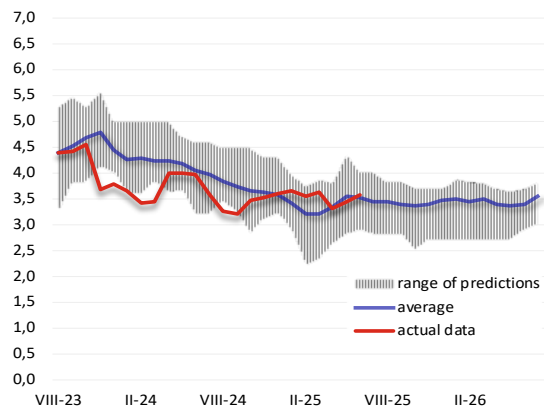
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



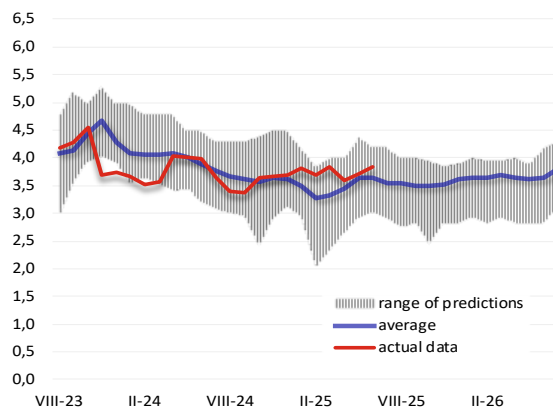
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS (%)



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS (%)



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
VII.24	25,21	24,70
IX.24	25,07	24,75
X.24	25,16	24,62
XII.24	25,08	24,83
II.25	25,13	24,93
V.25	24,96	24,84
VI.25	24,85	24,78
VII.25	24,71	24,60

EXCHANGE RATE FORECAST

July 2025	EUR/CZK	
	1M	1Y
minimum	24,60	24,38
average	24,71	24,60
maximum	24,80	24,90

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.7.	24,67
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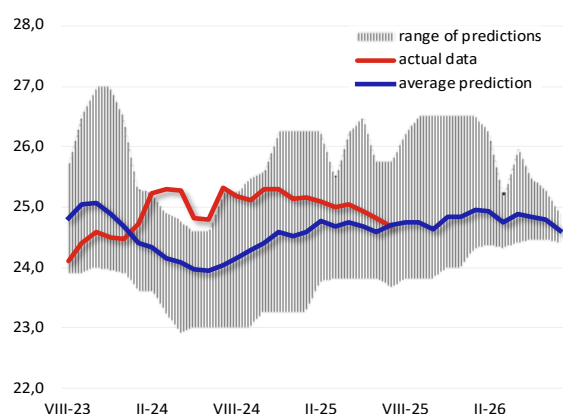
The koruna appreciated by 17 hellers to CZK 24.67 to the euro between the June survey and the cut-off date of the July survey. This was supported by the weakening US dollar, inflationary macroeconomic data coming from the domestic economy and hawkish comments from the CNB, especially a statement by Governor Aleš Michl who signalled that the CNB could leave key interest rates at their current levels for longer. The analysts' forecasts in our survey have also shifted to stronger levels. The one-month forecast was revised by 14 hellers to CZK 24.71 to the euro and the one-year forecast by 18 hellers to CZK 24.60 to the euro.

The opinion on the trend in the koruna exchange rate remains unchanged. Analysts again merely adjusted the usual scenario to the current exchange rate of the koruna on the foreign exchange market. At the one-month horizon, they expect the koruna to be almost stable and close to levels observed around the cut-off date of the July survey. They expect only a very gradual appreciation trend at the one-year horizon. The CNB's tight monetary policy and a recovery of the domestic economy are expected to prevent a weakening of the koruna in the current environment of elevated uncertainty.

The CNB's summer forecast expects the koruna at CZK 24,9 to the euro in 2026 Q3.

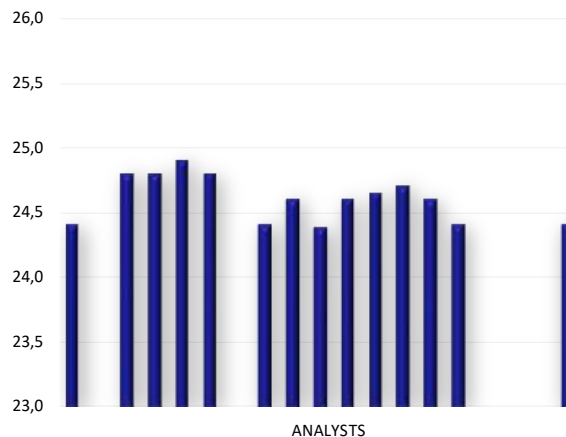
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH (%)

July 2025	current year	current+1Y
minimum	5,0	4,0
average	6,2	5,1
maximum	7,0	6,4

FORECAST FOR NOMINAL WAGE GROWTH (%)

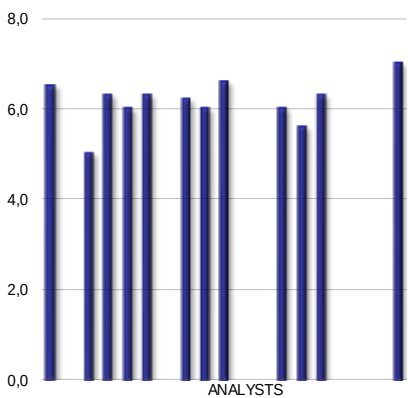
Date of Prediction	current year	current+1Y
VII.24	6,8	5,4
IX.24	6,7	5,5
X.24	6,7	5,5
XII.24	6,8	5,7
II.25	5,8	5,1
V.25	5,7	4,9
VI.25	6,1	5,1
VII.25	6,2	5,1

According to the Czech Labour Office, the registered unemployment rate remained unchanged at 4.2% in June. This represents an increase of 0.6 percentage point compared with last year. The number of registered job seekers reached 315,000 in mid-2025, which was almost 600 fewer than in May and just under 43,000 more than a year earlier. Although unemployment is higher year on year, its increase remains subdued. The year-on-year rise in the number of job seekers is also perceived as moderate. These figures suggest that the tightness in the labour market is easing only very gradually. Analysts do not expect a sharp rise in unemployment in the future either, despite the fact that some sectors may be adversely affected (either directly or indirectly) by US import tariffs, the CNB's tight monetary policy and relatively dynamic wage growth, including the minimum wage.

However, the persisting tight labour market conditions – particularly the low unemployment rate – combined with the recent decline in real wages (prompting employees to seek to make up for lost income), as well as continued economic growth, are likely to create space for further growth in nominal wages. Nominal wage growth is expected to reach 6.2% this year, which is 0.1 percentage point higher than in the previous survey. Wage growth is expected to slow to 5.1% next year, the same level assumed by analysts in June.

According to the CNB's summer forecast, nominal wages are expected to rise by 6.6% in 2025 and slow to 5.5% in 2026.

INDIVIDUAL 1Y PREDICTIONS
OUTLOOK FOR THIS YEAR (%)



NOMINAL WAGE GROWTH
END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)

